

Three Digital Business Models, One Financial Lens

A Comparative Financial Quality Analysis of Microsoft, Adobe and Netflix

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MSFT · ADBE · NFLX | COMMON WINDOW FY2021–FY2025 · NO VALUATION, NO RANKING · US\$ UNLESS STATED

PAGE 1 · COMPARATIVE SNAPSHOT

Three digital businesses with materially different financial profiles. Microsoft is the largest, records the highest operating and net margins, and holds the strongest balance sheet; Adobe records the highest latest free cash flow margin; Netflix shows the largest improvement in operating and FCF margins from the lowest starting margins. The differences are structural, not a ranking.

Microsoft SCALE AND BALANCE SHEET \$331.8bn revenue 46.8% operating margin +\$36.6bn net cash	Adobe CASH GENERATION 40.8% FCF margin 36.1% operating margin +\$0.4bn net cash	Netflix MARGIN IMPROVEMENT +8.6pp operating margin +21.4pp FCF margin –\$5.4bn net debt
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This analysis applies a single financial lens to three digital businesses with materially different economic models: an enterprise software and cloud platform, a subscription creative-software franchise, and a global streaming service. It compares them across four dimensions — growth, profitability, cash generation and balance-sheet strength — and asks what distinguishes each business rather than which is best.

The three are not close in scale. Microsoft's latest revenue of \$331.8bn is 6.9 times Netflix's \$48.4bn and 13.2 times Adobe's \$25.2bn. Absolute comparison would therefore say little; the historical analysis on the following pages is indexed to a common base for that reason.

On the latest reported position, Microsoft leads on growth (17.8%) and records the highest operating margin (46.8%) and net margin

(40.3%) in the comparison, holding net cash of \$36.6bn against debt to equity of 0.09x. Adobe records the highest free cash flow margin at 40.8%, against 23.1% at Netflix and 20.2% at Microsoft. Netflix sits between Microsoft and Adobe on latest revenue growth, while recording the lowest operating margin of the three, and is the only company of the three in a net debt position, at \$5.4bn.

Two of those observations move in opposite directions for the same company, and that tension frames the analysis. Microsoft records the highest operating margin and the lowest free cash flow margin. Adobe records the lowest revenue growth and the highest free cash flow margin. Neither pairing is a contradiction; each reflects a different point in a capital and reinvestment cycle, and the pages that follow examine the two measures separately.

EXHIBIT 1.1 · COMPARATIVE FINANCIAL SCORECARD — LATEST REPORTED POSITION

METRIC	MICROSOFT	ADOBE	NETFLIX
SCALE AND GROWTH			
Latest revenue (\$bn)	331.8	25.2	48.4
Latest revenue growth	17.8%	11.5%	16.0%
Historical revenue CAGR (company-specific window)	15.1%	13.1%	11.1%
PROFITABILITY			
Operating margin	46.8%	36.1%	29.7%
Net margin	40.3%	28.7%	28.2%
Operating margin change, FY2021–FY2025	+4.0pp	–0.1pp	+8.6pp
CASH GENERATION			
Latest free cash flow (\$bn)	67.0	10.3	11.2
Free cash flow margin	20.2%	40.8%	23.1%
FCF margin change, FY2021–FY2025	–8.0pp	–2.2pp	+21.4pp
BALANCE SHEET			
Net cash / (debt) (\$bn)	+36.6	+0.4	–5.4
Current ratio	1.23x	1.00x	1.19x
Debt / equity	0.09x	0.53x	0.54x

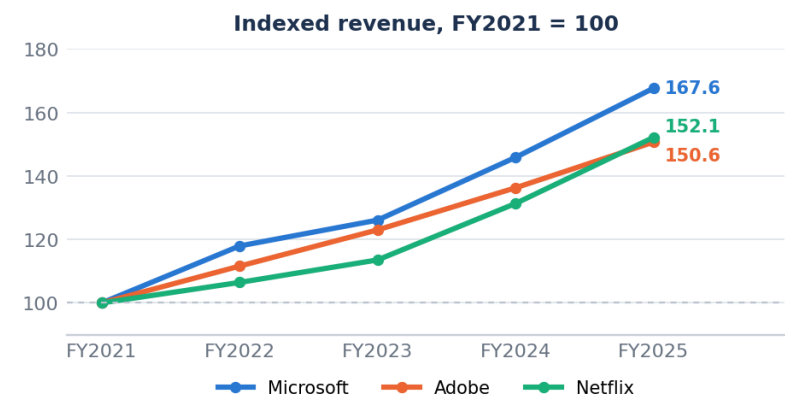
Bold marks the highest value on a row where a maximum is meaningful; it is a factual maximum, not a judgement, and no row is aggregated with any other. No composite score or overall ranking is produced anywhere in this analysis.

Different routes, almost the same destination

Measured over the common window, the three companies' growth records are far closer than their latest growth rates imply. Microsoft compounds fastest and from much the largest base; Adobe and Netflix arrive at almost the same five-year index by opposite routes.

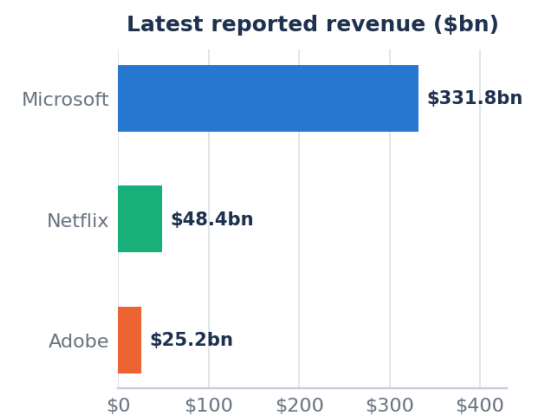
REVENUE INDEX FY2025 (FY2021 = 100)		FY2025 REVENUE GROWTH		LATEST REPORTED REVENUE GROWTH		REVENUE RELATIVE TO SMALLEST PEER	
MSFT	167.6	MSFT	14.9%	MSFT	17.8%	MSFT	13.2x
ADBE	150.6	ADBE	10.5%	ADBE	11.5%	ADBE	1.0x
NFLX	152.1	NFLX	15.9%	NFLX	16.0%	NFLX	1.9x

EXHIBIT 2.1 · INDEXED REVENUE, FY2021 = 100



The three converge far more than absolute scale suggests: 17.0 index points separate first from third over five years.

EXHIBIT 2.2 · REVENUE SCALE



The scale gap is why Exhibit 2.1 is indexed. Compared in dollars, the chart would measure size rather than performance.

Microsoft's revenue of \$331.8bn is more than thirteen times Adobe's and nearly seven times Netflix's. Comparing absolute growth across that gap would measure size rather than performance, so the historical analysis is indexed to FY2021 = 100.

On that basis the three are unexpectedly close. By FY2025 Microsoft reaches an index of 167.6, Netflix 152.1 and Adobe 150.6. Microsoft grew fastest over the common window, but the distance between the second and third is 1.5 index points — a difference without analytical weight.

The routes differ more than the destinations. Microsoft's growth was high but uneven: 17.5% in FY2021 and 18.0% in FY2022, then a sharp deceleration to 6.9% in FY2023, then recovery to

15.7% and 14.9%. Adobe decelerated steadily and then stabilised: 22.7% in FY2021, falling to 11.5%, 10.2%, 10.8% and 10.5% — the slowest of the three in the latest four years but also the most consistent. Netflix moved in the opposite direction, from 6.5% and 6.7% in FY2022 and FY2023 to 15.7% and 15.9% in FY2024 and FY2025.

The latest reported growth rates — Microsoft 17.8%, Netflix 16.0%, Adobe 11.5% — therefore capture where each company sits in its own cycle rather than a stable ordering. The historical CAGRs on the scorecard rank the three differently again, with Adobe at 13.1% ahead of Netflix at 11.1%. Those CAGRs are measured over each company's own reporting history, which differs by company, and are not comparable with one another on a like-for-like basis.

EXHIBIT 2.3 · REVENUE GROWTH BY FISCAL YEAR

COMPANY	FY2021	FY2022	FY2023	FY2024	FY2025	TRAJECTORY SHAPE
● Microsoft	17.5%	18.0%	6.9%	15.7%	14.9%	Uneven — sharp FY2023 trough, then recovery
● Adobe	22.7%	11.5%	10.2%	10.8%	10.5%	Decelerating, then stable
● Netflix	n/a	6.5%	6.7%	15.7%	15.9%	Accelerating from a low base

Netflix's FY2021 revenue growth is not calculable from the dataset, which begins at FY2021 and therefore contains no FY2020 comparative. It is shown as unavailable rather than estimated.

Two margins, two orderings

Operating margin and free cash flow margin rank the three companies in almost opposite orders. Microsoft records the highest operating margin and the lowest free cash flow margin; Adobe the reverse. The two measures are reported and compared separately.

EXHIBIT 3.1 · OPERATING MARGIN, FY2021–FY2025

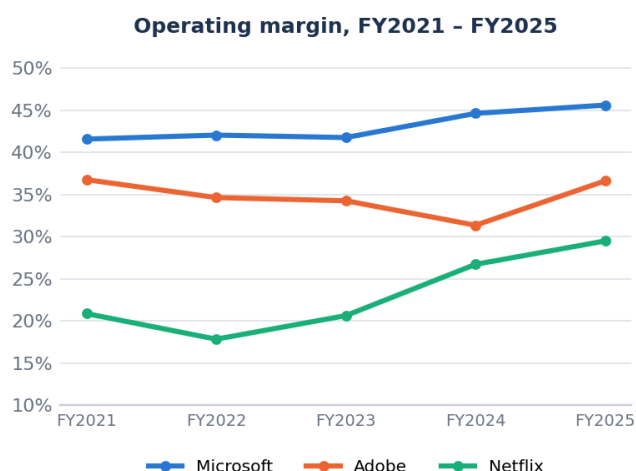


EXHIBIT 3.2 · FREE CASH FLOW MARGIN, FY2021–FY2025

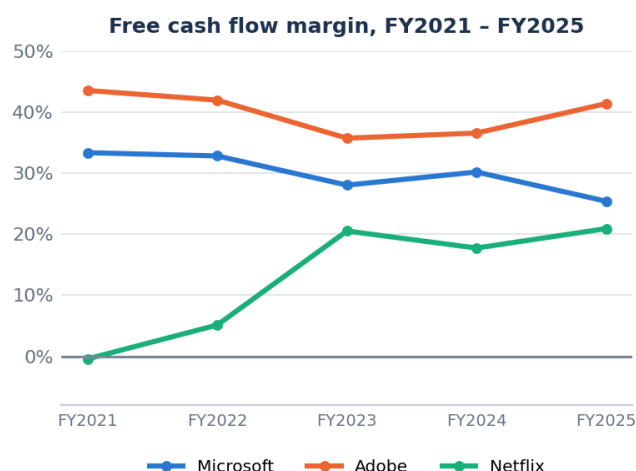


EXHIBIT 3.3 · MARGIN SUMMARY — LATEST LEVEL AND CHANGE OVER THE COMMON WINDOW

MEASURE	MICROSOFT	ADOBE	NETFLIX
Operating margin, latest	46.8%	36.1%	29.7%
Free cash flow margin, latest	20.2%	40.8%	23.1%
Operating margin change, FY2021–FY2025	+4.0pp	–0.1pp	+8.6pp
FCF margin change, FY2021–FY2025	–8.0pp (largest decline)	–2.2pp	+21.4pp

Level and direction sit side by side so that the two measures can be seen to order the companies differently. No derived ratio combining them is introduced.

WHY THE TWO ARE NOT COMBINED

The two measures are reported separately here rather than combined into a single conversion ratio. Operating margin is an EBIT-based, pre-tax measure; free cash flow margin is an after-tax cash measure struck after depreciation and amortisation, capital expenditure and working-capital movements. Dividing one by the other would mix bases that are not comparable, so the trend charts carry the comparison directly.

Microsoft holds the highest operating margin of the three at 46.8%, having expanded 4.0 percentage points over FY2021–FY2025, from 41.6% to 45.6%. It also holds the lowest free cash flow margin at 20.2%, having fallen 8.0 percentage points over the same window, from 33.4% to 25.4%. That decline is the largest deterioration in the peer set. The divergence shows that Microsoft's free cash flow generation has not kept pace with the improvement in operating profitability over the common period. The comparative dataset alone does not isolate the underlying cause.

Adobe's record over the common window is close to flat at the endpoints and not flat in between. Operating margin moved from 36.8% to 36.6%, a change of –0.1 percentage points, but fell as far as 31.4% in FY2024 before recovering. Free cash flow margin followed a similar path, from 43.6% to 41.5% via a trough of 35.8% in FY2023. Stability at the endpoints and stability throughout are different claims, and only the first is supported.

Netflix shows the largest improvement on both measures. Operating margin rose 8.6 percentage points, from 20.9% to 29.5%, and free cash flow margin rose 21.4 percentage points, from –0.4% to 20.9%. It remains the least profitable of the three on an operating basis. The trajectory is the strongest in the peer set; the absolute position is not.

EXHIBIT 3.4 · CHANGE MEASURES ON TWO BASES

OPERATING MARGIN CHANGE	SOURCE WINDOW	FY2021–FY2025
Microsoft	+9.75pp	+4.03pp
Adobe	+3.70pp	–0.13pp
Netflix	+8.64pp	+8.63pp

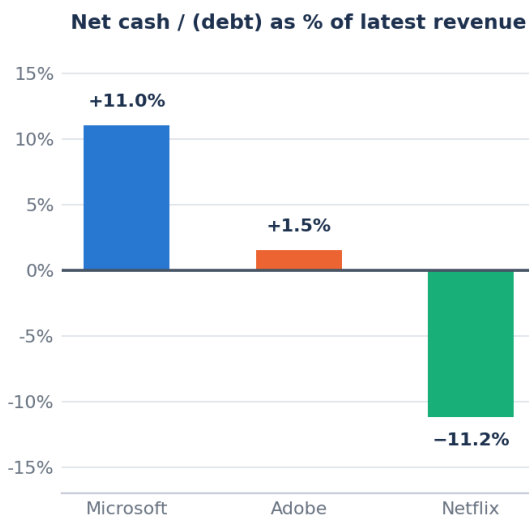
The source dataset measures change over each company's own history window. For Microsoft and Adobe this differs materially from the common window; only Netflix's figures agree on both bases. The FY2021–FY2025 basis is used throughout this analysis.

What each balance sheet could absorb

The three balance sheets differ more than any other dimension in this analysis. Microsoft's net cash position gives it the widest range of options; Adobe and Netflix carry near-identical leverage ratios but opposite net positions. None of this makes leverage good or bad — it determines what each company can absorb.

NET CASH / (DEBT)		AS % OF LATEST REVENUE		CURRENT RATIO		DEBT / EQUITY	
MSFT	+\$36.6bn	MSFT	+11.0%	MSFT	1.23x	MSFT	0.09x
ADBE	+\$0.4bn	ADBE	+1.5%	ADBE	1.00x	ADBE	0.53x
NFLX	-\$5.4bn	NFLX	-11.2%	NFLX	1.19x	NFLX	0.54x

EXHIBIT 4.2 · NET CASH / (DEBT) AS A SHARE OF REVENUE



Expressing the position as a share of revenue rather than in dollars is what makes the three comparable given the scale gap. Direction is encoded by position relative to zero; colour continues to identify the company.

EXHIBIT 4.1 · BALANCE-SHEET COMPARISON

MEASURE	MICROSOFT	ADOBE	NETFLIX
Net cash / (debt) (\$bn)	+36.6	+0.4	-5.4
Net cash / (debt), % of revenue	+11.0%	+1.5%	-11.2%
Current ratio	1.23x	1.00x	1.19x
Debt / equity	0.09x	0.53x	0.54x
Latest free cash flow (\$bn)	67.0	10.3	11.2

Free cash flow is shown alongside the balance-sheet measures so that each position can be weighed against the cash generation supporting it.

EXHIBIT 4.3 · NEAR-IDENTICAL LEVERAGE, OPPOSITE NET POSITIONS

COMPANY	DEBT / EQUITY	NET CASH / (DEBT)
● Adobe	0.53x	+\$0.4bn
● Netflix	0.54x	-\$5.4bn

A single leverage ratio does not describe a balance sheet. The difference lies in the cash and investments held against the debt, not in the debt itself.

Microsoft holds net cash of \$36.6bn, equivalent to 11.0% of its latest revenue, with debt to equity of 0.09x and a current ratio of 1.23x — the strongest position on all three measures. Adobe holds a small positive net cash position of \$0.4bn, or 1.5% of revenue. Netflix is in net debt of \$5.4bn, equivalent to 11.2% of revenue.

The leverage ratios are less separated than the net positions. Adobe's debt to equity of 0.53x and Netflix's of 0.54x are

effectively identical, yet one holds net cash and the other net debt.

Current ratios cluster narrowly: Microsoft 1.23x, Netflix 1.19x, Adobe 1.00x. Adobe's ratio of exactly 1.00x indicates current assets and current liabilities in balance, and should be interpreted alongside the composition of current assets and liabilities rather than in isolation.

ABSORPTIVE CAPACITY, NOT A JUDGEMENT

What follows from this is a difference in absorptive capacity, not a judgement. Microsoft's net cash position and low leverage provide greater flexibility to fund elevated investment internally. Netflix's net debt position is modest against its improving cash generation, but provides less balance-sheet cushion than Microsoft's. Adobe's balance sheet is neither a source of strength nor of pressure; it is close to neutral — a near-neutral net cash position alongside strong free cash flow generation. Leverage is not treated here as inherently good or bad: a net cash position carries an opportunity cost, and net debt can be entirely appropriate against stable, contracted cash flows. What the comparison establishes is how much each balance sheet could absorb if conditions changed.

Three viable models, not three attempts at the same one

The three companies lead on different dimensions and the appropriate weighting depends on the question being asked. The analysis identifies trade-offs; it does not produce a ranking.

Microsoft

Combines the largest revenue base, the fastest latest growth, the highest operating and net margins, and the strongest balance-sheet flexibility in the peer set. Its weakness on this evidence is the recent free cash flow margin trend: a free cash flow margin of 20.2%, the lowest of the three, and an 8.0 percentage point decline over the common window, the largest deterioration recorded here. That decline sits alongside an expanding operating margin: free cash flow generation has not kept pace with the improvement in operating profitability over the common period. The comparative dataset alone does not isolate the underlying cause. Whether the trend reverses is the central question for Microsoft and is not answerable from this dataset.

Adobe

Records the highest latest free cash flow margin in the comparison at 40.8%, against 23.1% at Netflix and 20.2% at Microsoft. It grows most slowly of the three from the smallest base, and its operating margin over the common window is unchanged at the endpoints after a mid-period trough and recovery. Its balance sheet is close to neutral. The profile is one of consistency and cash generation rather than expansion.

Netflix

Records the largest improvement in the peer set on both operating margin, up 8.6 percentage points, and free cash flow margin, up 21.4 percentage points from a negative base. It remains the least profitable on an operating basis and is the only company of the three carrying net debt. The trajectory is the strongest here; the absolute position is not yet.

EXHIBIT 5.1 · SYNTHESIS MATRIX

DIMENSION	MICROSOFT	ADOBE	NETFLIX
Scale and growth	Largest base, fastest latest growth	Smallest base, slowest growth	Mid-size, accelerating
Profitability	Highest operating and net margin	Stable at endpoints, mid-period trough	Largest improvement, lowest absolute
Cash generation	Lowest FCF margin, largest decline	Highest FCF margin at 40.8%	Largest improvement, from negative
Balance sheet	Net cash \$36.6bn, 0.09x leverage	Near-neutral, +\$0.4bn	Net debt \$5.4bn, 0.54x leverage

These are three viable financial models, not three attempts at the same one. Scale and balance-sheet strength, cash generation, and rate of margin improvement are genuinely different attributes, and the dataset offers no basis for weighting one against another. A composite score would require exactly that weighting, and would present a judgement as an arithmetic result. None is produced here.

The relevant question is therefore not which company is best but which attribute the reader is underwriting. A reader concerned with resilience and reinvestment capacity will weigh Microsoft's balance sheet most heavily. One concerned with cash return per unit of revenue will weigh Adobe's free cash flow margin. One concerned with direction of travel will weigh Netflix's improvement. All three readings are supported by the same evidence.

EXHIBIT 5.2 · METHODOLOGY AND LIMITATIONS

- Common window.** FY2021–FY2025 is the common historical window and the basis for all trend analysis; it is the only period over which the three companies are measured identically.
- Reporting dates differ.** Latest/LTM figures correspond to different reporting dates. Microsoft's fiscal year ends 30 June, Adobe's in late November, Netflix's 31 December, and each company's latest revenue postdates its own FY2025 figure. They are not a single-date snapshot.
- Two change bases.** Change measures supplied in the source dataset are calculated over each company's own history window. For Microsoft and Adobe these differ materially from the common window; both bases are shown on page 3 and the common-window figures are used in the analysis.
- Free cash flow** is defined as operating cash flow less capital expenditure, applied consistently.
- Historical CAGRs** are measured over differing company-specific windows and are not comparable with one another.
- One data gap.** Netflix's FY2021 revenue growth is not calculable from the dataset and is shown as unavailable rather than estimated.
- No valuation.** No valuation multiples, market prices, consensus estimates or broker forecasts are used. This is a financial-quality comparison, not a valuation.
- No ranking.** No composite score or ranking is produced. The three companies operate materially different models, and several metrics are not economically equivalent between them.

EXHIBIT 5.3 · CONCLUSION

The three lead on different dimensions, and the appropriate weighting depends on the question being asked.